Revision Date:
09/01/2026

Background:
CalFresh households (HHs) who are not Categorically Eligible (CE) or Modified Categorically Eligible (MCE) must not exceed the maximum allowable non-exempt property limit as detailed in Section 63-1101. This section was revised due to sunset review, there are no federal or state legislative changes.

Policy:
Exclude the following resources when determining the HH's eligibility to CalFresh when not CE or MCE.

1. Real Property

Exclude the following categories of real property from resource consideration:

- The home and surrounding property as long as the land is not separated from the home by property owned by someone else. Public roads or rights of way that run through the property do not affect the exemption of the property. The home and surrounding property remain exempt if they are temporarily unoccupied for reasons of employment, training for future employment, illness, or uninhabitability caused by natural disaster, if the HH intends to return.
- Property that produces income each year that is equal to its fair market value. This includes property used seasonally, such as rental or vacation homes. Refer to Processing Guide 200-01 to determine whether the property is producing income.
- Indian lands held jointly with the Tribe or lands that can only be sold with the approval of the Department of the Interior's Bureau of Indian Affairs.
- The portion of real property needed to maintain or use an excluded vehicle is not counted as a resource.

Example	
Scenario	A HH owns a produce truck to earn income but cannot park it in a residential area. Instead, they use a quarter-acre of their 100-acre field to park and service the truck.
Outcome	Exclude the value of the quarter-acre only, not the value of the entire field.

2. HH Goods, Personal Effects, and Pension Plans

Exclude HH goods and personal effects including:

- One burial plot per HH member.
- The cash value of one funeral agreement per HH member, provided that the agreement does not exceed $1,500 in equity value. Any amount above $1,500 will be counted in the resource amount.
- The cash value of life insurance policies.

For types of retirement savings and pension plans that are excluded from consideration as resources refer to the Excluded Retirement Savings and Pension Plans Desk Aid.

3. Vehicles

Exclude all vehicles as a resource.

4. Resources with Equity Value of $1,500 or Less

Resources with an equity value of $1,500 or less, excluding financial instruments such as stocks, bonds, and negotiable financial instruments.

5. Property Essential to Employment

Exclude property that is essential to the employment or self-employment of a HH member such as:

- Farmland, work-related equipment, tools or machinery.
- Business resources, such as funds in a checking or savings account, as long as the funds represent averaged self-employment income or the funds needed to produce that income, for the period of time used in the average.

Note: When a HH member ceases to be self-employed in farming, property which was essential to this self-employment will continue to be excluded as a resource for a period of one year from the date of termination.

6. Installment Contracts, Notes Receivable and Trust Deeds

Exclude the following as resources:

- Installment contracts for the sale of land or buildings if they produce income equal to their fair market value. The same rule applies to the value of the property being sold under the contract or used as security for the sale.
- Notes receivable and trust deeds if the HH receives income from the trust deed or note receivable that matches their fair market value.

7. Individual Development Accounts (IDA)

Exclude funds in a Temporary Assistance for Needy Families (TANF) IDA as a resource for any period in which the HH member keeps or adds funds into the account.

8. Disaster Loans & Grants

Exclude governmental payments designated for the restoration of a home damaged in a disaster. This includes payments from the Department of Housing and Urban Development, disaster loans, or grants made by the Small Business Administration.

9. Inaccessible Resources

Exclude resources that have a cash value, however are not accessible to the HH. These resources include, but are not limited to:

- Security deposits on rental property or utilities.
- Property in probate.
- Real property which the HH is making a good faith effort to sell at a reasonable price, and which has not yet been sold.
- Nutritional Assistance Program (NAP) benefits issued in the United States territories of Puerto Rico, American Samoa, and the Commonwealth of the Northern Marianas. These benefits are not accessible once the HH member is in the United States.
- Property, other than financial instruments (for example, stocks, bonds, and legally binding promissory notes) which if sold or otherwise disposed would produce more than $1,500.
- Irrevocable trust funds.

Funds in, or moved into a trust, and any income it earns, will be considered inaccessible to the HH if all of the following are true:

- The trustee is a court, an institution, corporation, or organization not controlled by a HH member, or is court-appointed with court-imposed limits on how the funds can be used.
- The funds held in irrevocable trust are established with the HH's own funds as long as the trustee only uses the funds for investments or to pay educational or medical expenses for someone named by the trust, or established by non-HH funds by a non-HH member.
- The trust does not invest in or support a business controlled by a HH member.
- The trust is expected to continue through the certification period.
- No HH member has the power to revoke the trust arrangement or change the name of the beneficiary during the certification period.

Note: If information is questionable, verification will be obtained through a collateral contact or documentation.

10. Funds Prorated as Income

Exclude resources of students or self-employed HH members that have been prorated as income. This exclusion also applies to the funds of ineligible non-citizens or disqualified HH members whose resources are considered available to the HH.

11. Federal Tax Credits and Refunds - Earned Income Tax Credit (EITC)

Exclude federal tax refunds including but not limited to, over-withheld income tax, EITC, and Child Tax Credit (CTC) for 12 calendar months after the refund is received.

12. Lien Placed on Non-Liquid Resources

Exclude a non-liquid asset if a lien has been placed as a result of taking out a business loan, and the HH is prohibited by the security or lien agreement with the lien holder (creditor) from selling the asset.

13. Resources of Individuals Receiving Public Assistance (PA)

Exclude the resources of HH members receiving PA. If a resource is jointly held by a CalFresh HH member who is receiving PA and a CalFresh HH member who is not receiving PA, the amount counted in determining the PA eligibility will be excluded.

14. Restricted Accounts

CalFresh recipients (not applicants) will be allowed to retain unlimited cash reserves in one or more restricted accounts at a financial institution. These funds are in addition to the existing resource limits currently allowed. To be excluded as a resource, the funds must be retained for one or more of the following specific purposes:

- Purchase of a home.
- Education or training.
- Start-up of a new business.

The HH must establish and maintain a restricted account separately from any other accounts. Refer to Processing Guide 200-01 for information on the treatment of Restricted Accounts.

15. California Achieving a Better Life Experience (ABLE) Account

CalFresh customers with disabilities can open ABLE accounts. These accounts let them save and invest money for disability-related costs called Qualified Disability Expenses (QDEs). The goal of an ABLE account is to support their health, independence, and quality of life. The following rules apply to ABLE accounts:

- ABLE accounts will be excluded as both income and resources.
- Withdrawals used toward qualifying expenses will not be counted as income.
- Family and friends can contribute to the ABLE account.
- The maximum yearly contribution limit is $14,000. These contributions can be made by the customer, family members, or friends.
- ABLE accounts must not exceed $100,000.
- Individuals may open ABLE accounts if their disability began before age 26 and they are either eligible for or receiving Supplemental Security Income (SSI) or Social Security Disability Insurance (SSDI) benefits, or they can provide a disability certification, signed by themselves, a parent or guardian, along with a physician's diagnosis.
- QDEs are not limited to medical expenses and may include basic living costs such as education, housing, transportation, employment training and support, assistive technology, financial management and administrative services, legal services, and funeral and burial expenses.

16. Resources Excluded by Federal Law

Exclude resources from the CalFresh eligibility determination when specifically excluded by any other Federal law. Refer to Desk Aid Resources Excluded by Federal Law for examples.

Procedure:

Refer to CalFresh Processing Guide 200-01 in Eligibility Essentials
Excluded Retirement Savings and Pension Plans Desk Aid

Other Program Impacts:

None

References:

All County Letters (ACLs) 18-16, 17-61, 12-62, 13-32, 98-19
Code of Federal Regulations (CFR) Title 7 Section 273.8(e) (2)
All County Informational Notices (ACINs) I-34-05, I-16-05, I-18-07, I-34-99, I-58-08, I-79-03, I-50-13, I-96-06
All County Welfare Directors Letter (ACWDL) dated June 30, 2014

Sunset Date:

This policy will be reviewed for continuance on or by 08/31/2029.

Approval for Release:

9/2/24

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Self-Sufficiency Services